Nalanda, Guru Padmasambhava, was invited to Tibet to help tame the powerful local deities. Legend has it that he was not only able to subdue these deities but also transform them into protectors of the Buddhist faith. Padmasambhava is revered in Tibet and in Sikkim and Bhutan as Guru Rimpoche, and the sect associated with him, the Nyingmapa, is the oldest in Tibet. He helped expand the Samye monastery and made it into the most important centre of Tibetan Buddhism.

There is another legend relating to a great doctrinal debate held at Samye presided over by the king of Tibet, which was to determine whether Tantric Buddhism of Indian origin or the more austere Chinese version, based on Chan Buddhism, should be adopted as the state religion. Santarakshita invited another great master from Nalanda, Kumarashila, to engage in this debate with Hoshang, the Chinese master from the great Chinese pilgrimage centre of Wutaishan. Kumarashila is said to have finally prevailed and convinced the king that Tantric Buddhism was best suited to Tibet.

Over the next three centuries, until around the eleventh century, there continued to be a steady stream of Indian masters travelling to Tibet and teaching at its great monasteries, just as there was a reverse traffic of Tibetans travelling to India to study Sanskrit, acquire authentic texts and master the intricate rituals associated with Tantric worship. This reduced to a trickle when the Muslim invasions of northern India and the despoliation of the great monasteries of Nalanda, Vikramshila and Odantapuri brought this eastern branch of the great religion to an end. The last great Indian master to travel to and preach in Tibet was Atisha Dipankara (982–1078 CE) from the Vikramshila monastery. He travelled to Tibet in 1042 CE and died there. His Tibetan disciple, Drompton, founded the Kadam sect. This later evolved into the dominant Yellow Hat Gelugpa sect, which is headed by the Dalai Lama.

During the Muslim invasions of northern India, many Indian monks and teachers are said to have taken refuge in Tibet. There is some evidence that the western Tibetan kingdom of Guge, which flourished from the tenth to the seventeenth centuries gave shelter to many Indian monks who then contributed to enriching the Buddhist faith in the country. The Himalayan